



# Apple Inc. (NASDAQ: APPL)

## Equity Research Stock Pitch

Recommendation: Short Sell

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# Investment Recommendation

**Recommendation**

SHORT

**Current Price**

\$298

**Target Price**

\$121

Apple remains one of the highest-quality businesses globally. However, my DCF valuation suggests the stock price embeds growth and profitability expectations that exceed our base-case assumptions. Under my valuation framework, Apple appears materially overvalued.

Apple Inc. is a global technology company that designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services.

| Segment   | Description                                                               |
|-----------|---------------------------------------------------------------------------|
| iPhone    | Smartphones                                                               |
| iPad      | Multipurpose tablets                                                      |
| Mac       | Personal computers                                                        |
| Wearables | Smartwatches, wireless headphones, spatial computers                      |
| Services  | Advertising, Applecare, Cloud services, Digital content, Payment services |

| Metric         | Value                 |
|----------------|-----------------------|
| Market Cap     | \$ 4.362 Trillion USD |
| Revenue        | \$ 416 billion USD    |
| Net Income     | \$ 112 billion USD    |
| Active devices | 2.35 billion          |
| Headquarters   | Cupertino, California |

Apple is widely regarded as one of the highest-quality businesses globally due to:

- Strong ecosystem lock-in
- Premium brand positioning
- Significant free cash flow generation
- Large and growing services business

Apple is one of the most widely followed and highly rated companies on Wall Street. The market continues to assign a premium valuation to the company due to its ecosystem strength, recurring services revenue, and AI-driven growth expectations.

## Why Investors Are Bullish

### **Ecosystem Strength**

Apple's integrated ecosystem creates significant switching costs and drives customer retention.

### **Services Growth**

The Services segment continues to expand and provides high-margin recurring revenue.

### **AI Opportunity**

Investors expect Apple Intelligence and future AI-enabled devices to support the next upgrade cycle.

### **Capital Returns**

Apple's substantial share repurchase program continues to support shareholder value.

I believe the current market valuation reflects overly optimistic assumptions regarding growth, profitability, and AI-driven upside.

#### **Valuation Disconnect**

Our DCF analysis implies an intrinsic value of approximately \$121 per share versus a current market price of approximately \$298.

The market is valuing Apple significantly above our estimate of fair value.

#### **iPhone Remains the Key Driver**

Despite growth in Services, iPhone remains Apple's largest revenue contributor.

A slower upgrade cycle or weaker consumer demand could materially impact overall company performance.

#### **Growth Expectations May Be Too Optimistic**

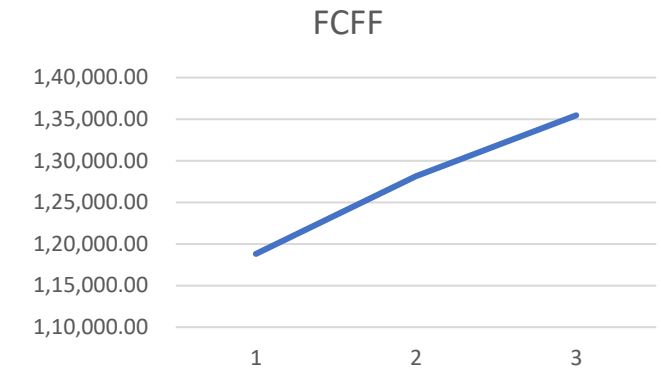
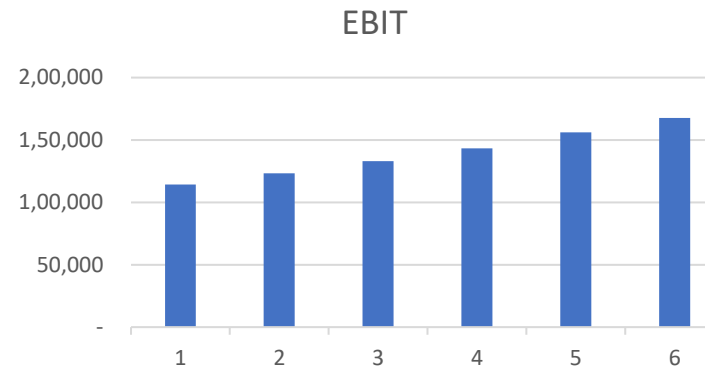
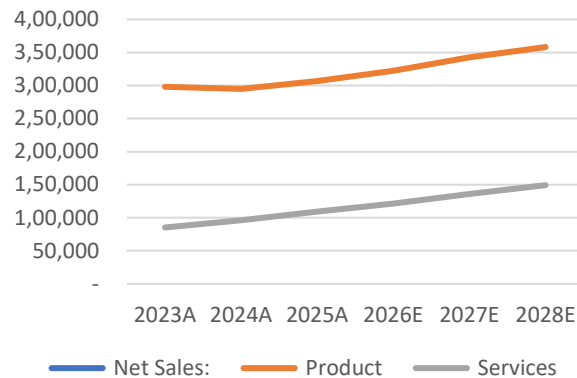
Consensus expectations assume continued strong growth driven by AI adoption, Services expansion, and ecosystem monetization.

Our analysis assumes revenue growth normalizes to 6–8% as Apple's scale limits future growth opportunities.

#### **Margin and Pricing Risks**

- Apple has discussed cost increases related to new technologies and AI investments.
- Higher product prices could reduce demand, while absorbing those costs could pressure margins.

While Apple has historically delivered strong revenue growth and profitability, our forecasts suggest a more moderate growth trajectory over the forecast period.



Revenue is projected to continue growing, but at a normalized rate of approximately 6–8%. Growth is primarily supported by:

- Services expansion
- Product refresh cycles
- Ecosystem monetization

However, Apple's scale limits the potential for sustained high-growth performance.

Operating profitability remains strong throughout the forecast period. However, I do not expect significant margin expansion beyond current levels. Potential pressures include:

- Higher AI-related investment
- Component cost inflation
- Pricing sensitivity among consumers

Apple continues to generate substantial free cash flow. Projected FCFF:

- 2026E: ~\$118B
- 2027E: ~\$128B
- 2028E: ~\$135B

Despite strong cash generation, my valuation indicates that current market expectations exceed the value implied by future cash flows

My forecasts do not assume business deterioration. Revenue continues to grow, profitability remains robust, and free cash flow generation remains exceptional. The issue is that even under these favourable assumptions, my DCF valuation still suggests a substantial gap between intrinsic value and the current market price.

My valuation is based on a Free Cash Flow to Firm (FCFF) Discounted Cash Flow methodology.

| Assumption           | Value     |
|----------------------|-----------|
| WACC                 | 9.93%     |
| Terminal Growth Rate | 3%        |
| Forecast Period      | 2026-2028 |

Current Price: \$298  
Target Price: \$121  
Implied Downside: 59%

Using a FCFF DCF framework with a 9.93% WACC and 3% terminal growth rate, I estimated an intrinsic value of approximately \$121 per share. This suggests that despite Apple's strong fundamentals, the current market price implies expectations that exceed our base-case forecast

| Metric                     | Value        |
|----------------------------|--------------|
| Enterprise Value           | 18,31,606.37 |
| Cash & Equivalents         | 86,931       |
| Less: Total Debt           | 98,657       |
| Equity Value               | 18,19,880.10 |
| Diluted Shares Outstanding | 15 billion   |
| Target Value               | \$121        |

# Sensitivity Analysis

## Base Case

WACC- 9.93%

Terminal Growth- 3%

Target Price- \$121

| Terminal Growth/WACC | 8.93%  | 9.93%  | 10.93% |
|----------------------|--------|--------|--------|
| 2.5%                 | 132.01 | 114.03 | 100.32 |
| 3.00%                | 141.99 | 121.29 | 105.81 |
| 3.5%                 | 153.80 | 129.67 | 112.04 |

To test the robustness of my valuation, I performed sensitivity analysis across various discount rates and terminal growth assumptions. While the precise valuation changes, the broader conclusion remains consistent: Apple's current market price appears significantly above my estimate of intrinsic value.



# Risks to my Short Thesis

## **AI Upgrade Cycle**

Apple Intelligence and future AI-enabled products could accelerate device replacement cycles.

## **Services Growth**

The Services segment continues to expand and generates high-margin recurring revenue.

## **Margin Expansion**

Apple's pricing power and operational efficiency could result in margins exceeding my expectations.

## **Premium Multiple**

Brand strength

- Ecosystem dominance
- AI opportunities
- Capital return program

Our biggest risk is not business deterioration. Our biggest risk is that Apple exceeds already strong expectations.

# Consensus vs Our view

## Wall Street Consensus

-  Buy
-  AI Supercycle
-  Ecosystem Strength
-  Services Growth
-  Share Buybacks

Recommendation- Buy  
Target Price= \$300  
Return- Positive

## My View

-  Short
-  Growth Normalization
-  Valuation Disconnect
-  iPhone Dependence
-  Margin & Pricing Risk

Recommendation- Short  
Target Price- \$121  
Return- 59%

The key difference between my valuation and Wall Street consensus is not the quality of Apple's business. I acknowledge Apple's strong ecosystem, services growth, and capital return program. Our disagreement stems from valuation. I believe the current market price reflects more optimistic growth and profitability assumptions than MY base-case forecast supports.

# High- Conviction Short

- Current Price= \$298
- Target Price= \$121
- Downside= 59%
- WACC= 9.93%
- Terminal Growth= 3%

Apple is an exceptional company with a dominant ecosystem, recurring services revenue, and industry-leading profitability. However, my DCF analysis suggests that these strengths are more than reflected in the current market price. Under my base-case assumptions, I estimate a target price of \$121 per share, implying approximately 59% downside. Therefore, I conclude with a High-Conviction Short recommendation